

[Figure 57.3](#) An ascending scallop failure in late June. Most scallops act as consolidations of the trend, but the narrow ascending scallop in late June marks the high for the stock.

However, the late June scallop marks the high for the stock. Again, there is really nothing wrong with the pattern. The J shape is pronounced and smooth. The volume pattern is somewhat rugged but higher on either end than in the center. The narrowness of the formation is a clue to its failure (remember, scallops in a series can become short and narrow as price climbs, signaling an end to the upward price trend). It is about 2 weeks wide, which is quite narrow for scallops (the median width is over a month long). From the high at 19, the stock heads down in a choppy manner until the end of the study (mid-July 1996), where it is at 13.50.

Statistics

[Table 57.2](#) shows general statistics.

Number found. I dug up 2,197 scallops in 640 stocks with the first one found in June 1991 and the most recent in November 2019. Not all stocks covered the entire period, and some no longer trade. Because I found so few patterns in bear markets with downward breakouts, they are not included in this chapter. I prefer to leave them off rather than provide misleading statistics that will change when more samples are added.

Reversal (R), continuation (C) occurrence. Scallops with upward breakouts function as continuations of the prevailing (upward) price trend. Downward breakouts act as reversals of that uptrend with 10% sprinkled into the mix that act as continuations of a downward price trend.

Reversal/continuation performance. Upward breakouts see reversals outperforming continuations, and downward breakouts see the reverse.

You can use this information to help give your trading an edge. Most likely, you'll be trading this pattern in a bull market and your scallop will have an upward breakout. Thus, look for the pattern in a downward price trend, where the stock is itching to rise. Make sure the market and industry are trending higher before taking a position.